

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No. 17-07

PORT ELIZABETH TERMINAL & WAREHOUSE CORP.

COMPLAINANT

v.

THE PORT AUTHORITY OF NEW YORK AND NEW JERSEY

RESPONDENT

**BRIEF OF RESPONDENT IN SUPPORT OF ITS PROPOSED FINDINGS OF FACT
AND CONCLUSIONS OF LAW**

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Introduction

Port Elizabeth Terminal & Warehouse Corp. (“PETW”) brought this action before the Federal Maritime Commission (“FMC”) in an attempt to avoid payment of the \$3 million plus dollars it owed The Port Authority of New York and New Jersey (the “Port Authority”) in unpaid rents, utilities, late charges, and to delay its eviction from buildings 201 and 202 on Export and Clipper Streets in Port Newark, New Jersey. (RX¹ 1064-65, 1293-99). Despite litigating this action in three separate proceedings and venues and undergoing over a year in discovery, PETW has not pointed to any evidence showing that the Port Authority treated it unfairly.

The Port Authority brought the first action on May 4, 2017, in the Superior Court of New Jersey landlord/tenant part, to evict PETW from buildings 201 and 202. (RX 1074-79). The case was scheduled for trial on July 25, 2017, and in an effort to avoid eviction, PETW filed the present action on July 21, 2017. (RX 1-14).

Using the FMC action as basis, PETW proceeded to file an order to show cause to stay the eviction proceeding. (RX 1104-08). PETW’s gamesmanship to stay the eviction action was denied by the Honorable Dennis. F. Carey, III, P.J.Cv. (RX 1108). On the date of trial, PETW requested an adjournment of the trial date to allow it to transfer the case to the Superior Court of New Jersey, Law Division, and file counterclaims against the Port Authority. (RX 1111). Judge Carey denied that request as well. (RX 1111).

The case was tried on July 26, 2017. (RX 1092-1127). After both sides had the opportunity to be heard, Judge Carey found that as a matter of law, the Port Authority complied with the provisions of the lease agreement between the Port Authority and PETW, Lease No. LPN-297 (the “PETW Agreement”) and entered a judgment of possession for buildings 201 and 202 in favor of

¹ Refers to Respondent’s Appendix.

the Port Authority. (RX 1124). During the proceeding, Judge Carey asked PETW's counsel why he waited almost three months after the landlord/tenant action was filed to bring the FMC action. (RX 1102-03). PETW's counsel responded that it waited until July 21, 2018 to bring the FMC action because it was "[o]nly very late in the game, in July, did it become clear that The Port Authority was not going to negotiate in good faith." (RX 1103). Judge Carey was not persuaded by counsel's argument and found that PETW's filing of the FMC action was nothing more than a ploy to delay the eviction process. (RX 1109). Judge Carey reasoned that it did not make sense for PETW to sit on its rights and wait until the last minute, or about 15 months after it was served with the notice to vacate buildings 201 and 202, to file the FMC action. (RX 1109).

PETW proceeded to file an emergent application with the Superior Court of New Jersey, Appellate Division, to stay the eviction proceedings pending resolution of the FMC action. (RX 1128-29). Same was denied by the Appellate Division. (RX 1128-29). In its August 7, 2017 decision, the Appellate Division reiterated that PETW's filing of an action with the FMC was an inappropriate tactic to delay the eviction proceedings. (RX 1129). The Superior Court and the Appellate Division were correct; PETW filed this action to avoid eviction and elude payment of the \$3,800,584.83 it currently owes the Port Authority in unpaid rents, utilities, and late charges. (RX 1293-99). In its proposed statement of facts, PETW has cited to no evidence in the record supporting its sole remaining claim for unreasonable preference or prejudice. Instead, PETW's proposed statement of facts merely regurgitates the allegations contained in the FMC complaint - which prove nothing.

As explained in detail below, the FMC does not have jurisdiction over this action because PETW is not a marine terminal operator under the Shipping Act. PETW does not provide warehousing facilities in connection with a common carrier because:

- a. PETW does not transport any cargo to or from its warehouses into or out of ships that are docked at the ports. (RX 305).
- b. PETW does not have any contracts or agreements with any ocean carriers or ocean vessel companies. (RX 309).
- c. PETW does not have any contracts or agreements with shipping companies or shipping lines. (RX 301-02).
- d. PETW is neither registered as a marine terminal operator or a vessel operating common carrier with the FMC. (RX 303, 1051-61).
- e. PETW does not publish a tariff schedule with the FMC. (RX 303).
- f. PETW has never filed a tariff schedule with the FMC. (RX 303).
- g. PETW is not a member of the New York Shippers Association or of the United States Marine Exchange. (RX 303).

Even if PETW can sustain its burden of showing that it is a marine terminal operator, PETW is unable to establish a *prima facie* case for unreasonable preference or prejudice because it has failed to show that the Port Authority offered unduly preferential lease terms to Port Newark Container Terminal (“PNCT”), Foreign Auto Preparation Services, Inc. (“FAPS”), Columbia Container Services, LLC (“Columbia”), or any other marine terminal operators. For example, the Amended and Restated Agreement of Lease between PNCT and the Port Authority, Lease No. L-PN-264 (the “PNCT Agreement”) requires PNCT to make a minimum investment of \$500 million, construct improvements on the leased premises, make terminal guarantees, and be subject to minimum throughput requirements. PETW is not subject to any of these requirements under the PETW Agreement.

In sum, PETW brought this action to avoid eviction and delay payment of its arrears, which began accruing in August 2014, long before the Port Authority served the April 2016 notice to vacate buildings 201 and 202.

The Port Authority's Proposed Findings of Fact

Pursuant to 46 C.F.R. § 502.214, the Port Authority hereby submits the following proposed findings of fact:

A. PETW is not a marine terminal operator under the Shipping Act.

1. On July 21, 2017, PETW commenced an action with the FMC against the Port Authority. (RX 1-14).

2. In the complaint, PETW claims that the FMC has jurisdiction because the parties to this action – PETW and the Port Authority – and PNCT are marine terminal operators within the meaning of the Shipping Act. (RX 2-3).

3. On February 1, 2018, Patrick J. Wynne, PETW's president for the past 23 years, was deposed. (RX 260, RX 263).

4. Mr. Wynne testified that PETW is a warehousing company that warehouses products such as alcoholic beverages, paper, pulp, wastepaper, food products, metal, non-hazardous products, water, and other wood products. (RX 281, RX 283-84).

5. PETW has warehouses in Levittown, Pennsylvania, and throughout New Jersey. (RX 284).

6. Mr. Wynne testified that PETW does not provide any transportation services. (RX 281).

7. According to Mr. Wynne, PETW does not transport any cargo from its warehouses into ships that are docked at the ports. (RX 305).

8. PETW also does not transport any cargo from ships that are docked at the ports to its warehouses. (RX 305).

9. Mr. Wynne admitted that PETW does not have any contracts or agreements with ocean carriers or ocean vessel companies. (RX 309).

10. Mr. Wynne also admitted that PETW does not have any contracts or agreements with shipping companies or shipping lines. (RX 301-02).

11. Mr. Wynne testified that PETW is not registered as a marine terminal operator with the FMC. (RX 303).

12. Mr. Wynne also testified that PETW does not publish a tariff schedule with the FMC. (RX 303).

13. Mr. Wynne admitted that PETW has never filed a tariff schedule with the FMC. (RX 303).

14. According to Mr. Wynne, PETW is not a member of the New York Shippers Association or the United States Marine Exchange. (RX 303).

15. Mr. Wynne testified that the March 29, 2018 letter he authored contains a list of PETW's customers. (RX 290-92, RX 478-80).

16. In essence, PETW's customers consist of companies that manufacture goods, produce commodities, and recycle paper, none of which are ocean carriers. (RX 290-301, RX 309, RX 478-80)

17. The FMC website contains a list of all the marine terminal operators registered with the FMC. (RX 1051-56).

18. The Port Authority and PNCT are registered as marine terminal operators with the FMC. (RX 1054).

19. PETW is not registered as a marine terminal operator with the FMC. (RX 1051-56).

20. The FMC website also contains a list of all the vessel operating common carriers registered with the FMC. (RX 1057-61).

21. PETW is not registered as a vessel operating common carrier with the FMC. (RX 1057-61).

22. In sum, PETW is not a marine terminal operator because it does not provide warehousing services in connection with anyone who qualifies as a common carrier.

B. The Port Authority did not impose any undue prejudice or disadvantage upon PETW or give any unreasonable preference or advantage to other marine terminal operators.

i. The PETW Agreement

23. On November 1, 2009, PETW and the Port Authority entered into the PETW Agreement, pursuant to which, the Port Authority leased to PETW certain premises in Port Newark, which included building 201 on Export Street and building 202 on Clipper Street. (RX 707-839).

24. Pursuant to the PETW Agreement, the letting of buildings 201 and 202 commenced on November 1, 2009 with a termination date of October 31, 2019, unless terminated sooner pursuant to the terms of the PETW Agreement. (RX 712).

25. Section 41 of the PETW Agreement titled, Additional Termination Rights/Recapture Rights, gave both, the Port Authority and PETW the right to terminate the letting of buildings 201 and 202, without cause, from and after October 31, 2015, on one year's prior written notice to the other party. (RX 770-71).

26. “Termination under the provisions of this Section shall have the same effect as if the effective date of termination stated in the notice were the date of expiration of the Term.” (RX 770-71).

27. Pursuant to Section 24 of the PETW Agreement, the failure of PETW to duly and punctually to pay its rents or make any other payment required under the PETW Agreement when due to the Port Authority constitutes an event of default. (RX 754).

28. Pursuant to Section 24 of the PETW Agreement, upon the occurrence of any event of default or at any time thereafter, the Port Authority may by written notice terminate the letting and the rights of PETW under the PETW Agreement. (RX 755).

29. The PETW Agreement did not require PETW to make any investments. (RX 707-839).

30. The PETW Agreement did not require PETW to construct any improvements on the leased premises. (RX 707-839).

31. The PETW Agreement did not impose upon PETW any minimum throughput requirements. (RX 707-839).

32. The PETW Agreement did not require PETW to provide any terminal guarantees to the Port Authority. (RX 707-839).

ii. The PNCT Agreement

33. PNCT’s business is to “[d]ischarge and load ships and deliver cargo to trucking companies.” (RX 308).

34. PNCT does not compete with PETW for customers. (RX 308-09).

35. PNCT does not have a warehousing business. (RX 308).

36. On June 14, 2011, PNCT and the Port Authority entered into the PNCT Agreement. (RX 840-1050).

37. The PNCT Agreement has terminal guarantees, minimum investment requirements, and minimum throughput guarantees of qualified containers. (RX 862, 890-91, RX 954).

38. Pursuant to the PNCT Agreement, PNCT is required to invest an aggregate minimum of \$500 million “for the construction of capital improvements and acquisition and installation or placement of capital fixtures, equipment or other capital items at the Premises.” (RX 890-91).

39. However, at the time the PNCT Agreement was signed, PNCT represented to the Port Authority that it intended to invest “Six Hundred Eighteen Million Dollars and No Cents (\$618,000,000.00) at and in the Premises in the following amounts and toward the following purposes: Site - \$130 million, Wharf - \$41 million, Buildings - \$11 million, Technology - \$16 million, and Equipment - \$420 million.” (RX 891).

40. The PNCT Agreement defines the term “Throughput Threshold Number” as “one hundred forty thousand nine hundred and sixty-eight (140,968) Qualified Containers.” (RX 862).

41. A “Qualified Container,” in turn, is defined under the PNCT Agreement as “cargo containers (or similar cargo conveyances, if any, which shall generally replace, succeed or are functionally equivalent to present cargo containers) loaded onto or discharged from vessels berthing at the Premises . . . including without limitation any specialized cargo containers such as flat-racks . . . , mafis, trailers and vehicles” (RX 860).

42. Pursuant to the PNCT Agreement, PNCT is required to increase the throughput threshold number by “(1) one thousand seven hundred and five (1,705) Qualified Containers per acre upon the Completion Date with respect to each acre of each of the Development Parcels or

any other property added to the Premises that is or becomes contiguous with the Existing Terminal Facility or the Development Parcels, completed by Les(and (2) eight hundred (800) Qualified Containers per acre upon the Completion Date with respect to each acre of the Starboard Street Property and the Waterfront Shimizaki Property completed by Lessee” (RX 862).

43. The PNCT Agreement defines the term “Terminal Guarantee Number” as “the number of Qualified Containers calculated by multiplying the number of acres comprising the Existing Terminal Facility, as increased by each of the Development Parcels or any other property added to the Premises that is or becomes contiguous with the Existing Terminal Facility or the Development Parcels upon the Completion Date for each such Development Parcel or other property (and for so long as each such Development Parcel or other property is included in the Premises), during the applicable Lease Year by 2500. Solely for the purposes of calculating Guarantee Rental as specified in Section 56 of this Agreement, prior to the Rail Fly-over Completion Date, the calculation of the Terminal Guarantee Number shall not include any acres comprising the Phase 1 Development Parcel.” (RX 862).

44. Section 56 of the PNCT Agreement contains the terminal guarantees. (RX 954).

45. The terminal guarantees of the PNCT Agreement provide that “in the event that the number of Qualified Containers loaded onto or discharged from vessels berthing at the Premises during any such Lease Year shall not exceed the Terminal Guarantee Number for that Lease Year, Lessee shall pay to the Port Authority a Guaranteed Rental equal to the product obtained by multiplying (1) the difference between the Terminal Guarantee Number for that Lease Year and the actual number of Qualified Containers loaded onto or discharged from vessels berthing, at the premises during that Lease Year by (2) the Tier 1 Rental Rate in effect on the last day of that Lease Year pursuant to the provisions hereof. Any Guaranteed Rental owed under this Section shall be

paid by Lessee to the Port Authority on the twentieth (20th) day of the month following the last month of the applicable Lease Year.” (RX 954).

46. Pursuant to the PNCT Agreement, the Port Authority agreed to deliver possession of certain parcels of land in Port Newark free of all tenants and occupants (the “Added Parcels”) to PNCT. (RX 868).

47. The Added Parcels would be delivered to PNCT in four phases. (RX 850, RX 857).

48. Phase 3 required the Port Authority to deliver to PNCT the parcels of land where buildings 201 and 202 were located, which were being leased to PETW at the time. (RX 865, RX 980).

49. PNCT, in turn, was required to “develop and construct improvements on the Added Parcels for use as a Marine Container Terminal Facility . . . in accordance with plans and specifications approved by the Port Authority.” (RX 879).

50. Pursuant to the PNCT Agreement, “[i]t is the understanding of the parties hereto that a significant portion of the Lessee’s intended capital expenditures shall relate to the Development Parcels and other Added Parcels as part of the Premises and that the timing of such capital expenditures related to such Added Parcels is dependent upon the delivery of such Added Parcels by the Port Authority by the dates projected in Section 3 hereof.” (RX 891).

51. In order for the Port Authority to deliver possession of the Added Parcels to PNCT in a timely manner, the Port Authority agreed “that it shall use commercially reasonable efforts to cause the current tenants at each of the Added Parcels to comply with the applicable provisions in their lease agreements with respect to vacation and surrender of the relevant Added Parcel [and] not extend or renew any leases of the current tenants at each of the Added Parcels” (RX 868).

52. The expansion of PNCT's facility in Port Newark was publicly announced shortly after the parties signed the PNCT Agreement. (RX 1062-63).

53. According to a June 15, 2011 article titled "Port Newark terminal lease deal to double volume," the "lease deal between the Port Authority of New York and New Jersey and Port Newark Container Terminal, or PNCT, calls for the company to secure \$500 million in private investment intended to transform its facility on Newark Bay into a larger, more efficient state-of-the-art terminal, which in turn would help accommodate the increased container volume." (RX 1062-63).

54. The June 2011 article notes that the benefits of PNCT's investment will include the "creation of 1,150 jobs, including 350 construction jobs, resulting in \$88 million in annual wages and \$630 million in regional economic activity." (RX 1066).

iii. The Columbia Space Permit

55. Columbia "is the equipment repair and storage arm of the Columbia Group of Companies." (RX 1290-91).

56. The Port Authority and Columbia entered into a space permit agreement, Permit No. MNS-341 (the "Columbia Space Permit"), effective as of January 1, 2012. (RX 1154-87).

57. The provisions of the Columbia Space Permit, allowed either the Port Authority or Columbia to revoke the permit without cause upon 30 days' notice. (RX 1180).

iv. The FAPS Agreement

58. The Port Authority and FAPS entered into a lease agreement, Lease No. LPN-309 (the "FAPS Agreement") effective as of October 1, 2010. (RX 1188-1290).

59. The FAPS Agreement required FAPS to pay throughput rental fees to the Port Authority for every vehicle handled by FAPS. (RX 1197).

60. The FAPS Agreement gave the Port Authority “the right, on ninety (90) days’ notice, to recapture an aggregate of three (3) acres of the [leased] Premises in any sixty (60) month period of the Term for the purpose of facilitating the efficient movement of vehicles and cargo in and around the Facility, for the purpose of enhancing ingress and egress to adjacent leaseholds and public berths” (RX 1245-46).

v. PETW’s arrears

61. PETW started falling behind on its monthly rent payments under the PETW Agreement as of August 2014. (RX 696).

62. PETW failed to pay the rents it was required to pay under the PETW Agreement for the months of August 2014 and September 2014. (RX 696).

63. As of February 5, 2015, PETW owed the Port Authority a total of \$647,103.17. (RX 696).

64. In an effort to aid PETW, on February 5, 2015, the Port Authority and PETW entered into a payback agreement. (RX 696).

65. The payback agreement was signed by Mr. Wynne in his capacity as PETW’s president and Robert W. Evans on behalf of the Port Authority. (RX 364, RX 696).

66. In the payback agreement, PETW acknowledged that it “has failed to pay its August and September 2014 monthly rents for Lease No. LPN-297, totaling \$401,560.45; September 2014 monthly rent for Permit No. MNS-330, totaling \$166,617, as well as retro billing for Permit No. MNS-339 totaling \$15,915.12.” (RX 696).

67. In the payback agreement, PETW also acknowledged that the total balance due as of February 5, 2015 was \$647,103.17. (RX 696).

68. In order to allow PETW to pay back its arrears, the Port Authority authorized “a six-month payback schedule, in which PETW will make 13 bi-weekly payments of \$50,923.73, including 8.5% interest charges, totaling \$662,008.49.” (RX 696).

69. PETW failed to pay its arrears pursuant to the terms set forth in the February 5, 2015 payback agreement. (RX 700).

70. As of March 16, 2016, PETW owed the Port Authority \$1,783,155.24 in unpaid rents and other charges. (RX 700).

71. In an email dated March 16, 2016, PETW was advised that its “account remains severely delinquent and continues to draw negative attention within the Port Authority. To avoid this being escalated any further, a substantial payment must be made immediately.” (RX 700).

72. PETW failed to make any payments. (RX 1066-72).

vi. The Notice of Termination of buildings 201 and 202

73. As buildings 201 and 202 were part of the Added Parcels to be delivered to PNCT free of all occupants and tenants, on April 19, 2016, the Port Authority served upon PETW a Notice of Termination pursuant to section 41(a) of the PETW Agreement (the “Notice of Termination”). (RX 698-99).

74. In the Notice of Termination, the Port Authority advised PETW that it was exercising its rights to terminate the letting of buildings 201 and 202 of effective May 1, 2017, with the last day of beneficial occupancy being April 30, 2017. (RX 698).

75. In other words, the Port Authority gave PETW one year’s prior written notice to vacate buildings 201 and 201, in conformity with the requirements of Section 41(a) of the PETW Agreement. (RX 698-99, 770-71).

76. Following service of the Notice of Termination, representatives from the Port Authority and PETW met on numerous occasions, including on October 20, 2016, November 30, 2016, March 28, 2017, and June 13, 2017 to deal, negotiate, and discuss PETW's proposals to pay back its outstanding arrears and find alternative warehousing space. (RX 478-80, RX 701-703, RX 1073, RX 1151).

77. PETW's payback proposals required the Port Authority to lease several buildings to PETW and wait multiple years to be repaid in full. (RX 485-86, RX 1150-51).

78. For instance, in February 2017, PETW submitted a repayment proposal whereby PETW would make an upfront payment of \$1.25 million, which was less than half of the amount that PETW owed the Port Authority at the time, while the rest would be paid back in installments; the proposal also required the Port Authority to lease to PETW multiple buildings at a rate of \$0.50 per square foot. (RX 1150).

79. The Port Authority did not accept PETW's payback proposals because it required the Port Authority to wait over ten years to be paid in full and lease multiple buildings to PETW, which presented "a significant business risk to the Port Authority based in the current financial condition of the company." (RX 1150).

80. In an effort to assist PETW and as part of the ongoing negotiations to provide PETW with alternative warehouse space, the Port Authority considered requiring PETW to make some capital investments, which would be used as credits towards PETW's rents. (RX 1153).

vii. The Port Authority files a landlord/tenant action in the Superior Court of New Jersey to evict PETW from buildings 201 and 202

81. On or around March 29, 2017, the Port Authority learned that "PETW will not voluntarily vacate the premises by April 30, 2017." (RX 1151).

82. Despite having over one year's written notice, PETW did not vacate building 201 or 202. (RX 1064).

83. On May 1, 2017, the Port Authority drew down \$655,000 from PETW's letters of credit, and applied this amount towards PETW's arrears. (RX 1296).

84. On May 4, 2017, the Port Authority commenced a landlord/tenant action for a judgment of possession of buildings 201 and 202 in the Superior Court of New Jersey. (RX 1074-1079).

85. On July 21, 2017, four days before the trial date of the landlord/tenant action, PETW filed a complaint with the FMC. (RX 1-14).

86. On July 25, 2017, the parties appeared before the Hon. Dennis F. Carey, III, for the trial of the landlord/tenant eviction action, which was adjourned to July 26, 2017, in order for the trial court to consider the merits of PETW's order to show cause to stay the eviction action pending resolution of the FMC proceeding. (RX 1080-91).

87. On July 26, 2017, Judge Carey denied PETW's order to show cause. (RX 1108-11).

88. On that date, PETW made an oral motion to transfer the case to the Law Division, Civil Part, in order to file a counterclaim against the Port Authority. (RX 1111).

89. Same was denied by Judge Carey and the matter proceeded to trial. (RX 1111).

90. After both sides has the opportunity to be heard, Judge Carey found that as a matter of law, the Port Authority complied with the provisions of the PETW Agreement and entered a judgment of possession in favor of the Port Authority. (RX 1123-26).

91. As part of his decision, Judge Carey found that PETW's filing of the FMC action was merely a ploy to delay the eviction process. (RX 1109-10).

92. PETW proceeded to file an emergent application with the Appellate Division for a stay, which was denied by the Appellate Division on August 7, 2017. (RX 1128-29).

93. In its August 7, 2017 decision, the Appellate Division found that “[a]lthough a prior application had been made to the FMC, *ibid.*, the trial court reasonably found defendant’s filing of a complaint with the FMC was an inappropriate tactic to delay eviction proceedings.” (RX 1128-29).

94. In an effort to aid PETW in its relocation efforts, the Port Authority offered alternative space to PETW if it paid its arrearage of approximately \$3 million. (RX 704-05).

95. The Port Authority offered the building located at 150 Pulaski, which PETW had expressed interest in previously. (RX 704).

96. Even after the judgment of possession was entered by Judge Carey, PETW refused to vacate buildings 201 and 202. (RX 416).

97. As a result, on September 18, 2017, a special civil part officer from Essex County, personally served the warrant of removal upon Mr. Wynne. (RX 1130-31).

98. The warrant of removal gave PETW three days to remove all of its belongings from buildings 201 and 202. (RX 1130-31).

99. In an effort to assist PETW, the Port Authority gave PETW until October 23, 2017 to remove all of its belongings out of buildings 201 and 202; Mr. Wynne himself testified to this effect. (RX 416).

100. By February 23, 2018, PETW owed the Port Authority \$3,584,765.85 in back rents, utilities, and late charges. (RX 1066-72).

101. As of August 20, 2018, PETW owes the Port Authority \$3,800,584.83 in back rents, utilities and late charges. (RX 1293-99).

102. In sum, the reason the Port Authority has been unable to find alternative locations for PETW is because of PETW's substantial arrears, which continue to accrue. (RX 1150).

viii. The Port Authority did not ask PETW to vacate the properties at Panama Street, Export Street, Marlin Street, or Aruba Street

103. In its complaint, PETW claims that the Port Authority asked it to vacate the buildings at 194 Panama Street and 199 Panama Street. (RX 5).

104. This is incorrect; PETW vacated the buildings at 194 Panama Street and 199 Panama Street because the letting of those buildings terminated on October 31, 2012 pursuant to the PETW Agreement. (RX 346-47, RX 506, RX 697).

105. In its complaint, PETW also claims that the Port Authority asked it to vacate building 191 on Export Street. (RX 5).

106. This is also incorrect; PETW vacated the building at 191 Export Street because the letting of that building terminated on July 31, 2013 pursuant to a different lease agreement that the Port Authority and PETW had entered into on July 31, 2008, titled LPN-286. (RX 353, RX 644-45, RX 683, RX 697).

107. In addition, PETW claims that the Port Authority asked it to vacate the buildings at 292 Marlin Street and 1400 Aruba Street. (RX 5).

108. This is incorrect as well; the building at 292 Marlin Street was vacated by PETW after giving 30 days' notice of its intent to terminate the month-to-month lease for this building. (RX 686).

109. As to the building at 1400 Aruba Street, PETW obtained possession of same pursuant to a sublease agreement it entered into with Tyler Distribution ("Tyler") on March 1, 2010. (RX 687-95).

110. The sublease of the building at 1400 Aruba Street ended on February 28, 2013. (RX 688).

111. At no time did PETW ever enter into any agreement to lease the building at 1400 Aruba Street from the Port Authority. (RX 360).

Argument

PETW's remaining claim for unreasonable preference or prejudice should be dismissed because: (a) the FMC lacks jurisdiction over PETW's claims inasmuch as PETW is not a marine terminal operator under the Shipping Act; and, (b) the Port Authority did not impose any undue or unreasonable prejudice or disadvantage upon PETW or give any undue or unreasonable preference or advantage to any other marine terminal operators.

PETW's request for an adverse inference should be denied because the Port Authority provided responses to PETW's post-deposition document production requests and an adverse inference is not the proper remedy when a party fails to provide discovery.

Point I

The FMC lacks jurisdiction over this matter because PETW is not a marine terminal operator under the Shipping Act.

"It is elementary law that a tribunal should determine its jurisdiction before addressing the merits of a controversy brought before it." *Crowley Liner Services, Inc. and Trailer Bridge, Inc. v. Puerto Rico Ports Authority*, F.M.C. Docket 00-02, 2001 WL 1632555, at *3 (F.M.C. Sept. 20, 2001). Therefore, "[p]roper jurisdiction . . . is fundamental and necessary before touching the substantive claims of a lawsuit." *The Auction Block Company v. The City of Homer*, F.M.C. Docket No. 12-03, 2013 WL 9808688, at *12 (F.M.C. May 20, 2013) (quoting *Arena v. Graybar Elec. Co., Inc.*, 669 F.3d 214, 223-24 (5th Cir. 2012)). This principle is especially relevant when

the tribunal has limited jurisdiction, as is the case with the FMC. *Crowley Liner Services, Inc. and Trailer Bridge, Inc.*, 2001 WL 1632555, at *3.

A litigant may raise a tribunal's lack of subject matter jurisdiction at any time. *The Auction Block Company*, 2013 WL 9808688, at *12 (citing *Grupo Dataflux v. Atlas Global Group, L.P.*, 541 U.S. 567, 576 (2004)). When a litigant makes a jurisdictional challenge, the party asserting jurisdiction bears the burden of showing that the tribunal has jurisdiction over the action. *Id.* (citing *Branon v. Debus*, 289 Fed. Appx. 181, 183 (9th Cir. 2008) (citations omitted)); see *Auction Block Co. and Harbor Leasing, LLC v. The City of Homer*, F.M.C. Docket No. 12-03, 2014 WL 5316337, at *3 (F.M.C. Aug. 12, 2014) (noting that the "[c]omplainant has the burden of demonstrating that the Commission has jurisdiction over the dispute."). In short, "[t]he complainant has the ultimate burden of showing facts necessary to establish jurisdiction in the [Federal Maritime] Commission." *The Auction Block Company*, 2013 WL 9808688, at *19 (citations omitted).

The FMC is an independent regulatory agency whose primary responsibility is the enforcement of the 1984 Shipping Act. 46 U.S.C. § 4101 *et seq.* The Shipping Act provides a comprehensive scheme for regulation by the FMC of the practices of common carriers and others, including marine terminal operators.

Pursuant to 46 U.S.C. § 4101, the express purposes of the Shipping Act are to:

- (1) establish a nondiscriminatory regulatory process for the common carriage of goods by water in the foreign commerce of the United States with a minimum of government intervention and regulatory costs;
- (2) provide an efficient and economic transportation system in the ocean commerce of the United States that is, insofar as possible, in harmony with, and responsive to, international shipping practices;
- (3) encourage the development of an economically sound and efficient liner fleet of vessels of the United States capable of meeting national security needs; and

- (4) promote the growth and development of United States exports through competitive and efficient ocean transportation and by placing a greater reliance on the marketplace.

To advance these purposes, the Shipping Act contains a list of prohibited practices, one of which is for a marine terminal operator to impose any undue or unreasonable prejudice or disadvantage or give any undue or unreasonable preference or advantage with respect to any person. 46 U.S.C. § 41106(2). The Shipping Act defines the term “marine terminal operator” as “a person engaged in the United States in the business of providing wharfage, dock, warehouse, or other terminal facilities in connection with a common carrier, or in connection with a common carrier and a water carrier subject to subchapter II of chapter 135 of title 49.” 46 U.S.C. § 40102(14).

The term “common carrier” is defined by the Shipping Act as:

“a person that – (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation; (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country; but (B) does not include a carrier engaged in ocean transportation by ferry boat, ocean tramp, or chemical parcel-tanker, or by vessel when primarily engaged in the carriage of perishable agricultural commodities – (i) if the carrier and the owner of those commodities are wholly-owned, directly or indirectly, by a person primarily engaged in the marketing and distribution of those commodities; and (ii) only with respect to the carriage of those commodities.”

46 U.S.C. § 40102(6).

In the instant matter, PETW claims that the FMC has jurisdiction over this matter because the Port Authority, PNCT, and PETW are marine terminal operators. (RX 2). Nowhere in its complaint does PETW allege that FAPS or Columbia are marine terminal operators under the Shipping Act. (RX 1-14). In fact, PETW does not even mention FAPS or Columbia in its complaint. (RX 1-14). In addition, PETW does not allege that any of them are common carriers

or ocean transportation intermediaries. Therefore, the FMC can only exercise jurisdiction over the subject matter if PETW can show that it, the Port Authority, and PNCT provide terminal services in connection with a common carrier. *See The Auction Block Company*, 2013 WL 9808688, at *19 (noting that the complainant has the burden of proof of showing that the FMC has subject matter jurisdiction over the action).

The FMC has adopted a two-step analysis in order to determine whether a party is a marine terminal operator under the Shipping Act. *Id.* at *15; *see The Lake Charles Harbor and Terminal Dist. v. West Cameron Port, Harbor and Terminal Dist.*, F.M.C. Docket No. 06-02, 2007 WL 2468431, at *4 (F.M.C. Aug. 2, 2007). The first step is to determine “whether wharfage, dock, warehouse, or other terminal facilities are provided.” *The Auction Block Company*, 2013 WL 9808688, at *15 (citing *The Lake Charles Harbor and Terminal Dist.*, 2007 WL 2468431, at *4). “The second step is to determine whether the facilities are provided in connection with a common carrier.” *Id.* (citing *The Lake Charles Harbor and Terminal Dist.*, 2007 WL 2468431, at *4). In other words, in order to ascertain whether a party is a marine terminal operator, “it must be determined whether they provide terminal facilities and, if so, whether the facilities are provided in connection with a common carrier.” *Id.*

In order for warehousing facilities to be provided in connection with a common carrier, the warehousing must be provided to an entity that “utilizes a vessel operating on the high seas for all or part of that transportation and . . . assumes responsibility for transportation between those ports or points.” *Mitsui O.S.K. Lines Ltd. V. Global Link Logistics, Inc.*, F.M.C. Docket No. 09-01, 2011 WL 7144008, at *7 (F.M.C. Aug. 1, 2011). Therefore, a warehousing company qualifies as a marine terminal operator if it offers warehousing services directly to a common carrier. *See The Auction Block Company*, 2013 WL 9808688, at *21 (finding that the FMC was without jurisdiction

because there was not sufficient evidence to find that common carriers currently or in the past utilized the services of the respondent to qualify as a marine terminal operator).

Here, the Port Authority does not dispute that PNCT and the Port Authority are marine terminal operators. In fact, both are registered as such with the FMC. (RX 1054). However, PETW is not a marine terminal operator because it fails the second prong of the test and does not provide warehousing facilities to a common carrier. This is based on the deposition testimony of Patrick J. Wynne, PETW's president, where he admitted that:

- a. PETW does not transport any cargo from its warehouses into ships that are docked at a port. (RX 305).
- b. PETW does not transport any cargo from ships that are docked at the ports to its warehouses. (RX 305).
- c. PETW does not have any contracts or agreements with any ocean carriers or ocean vessel companies. (RX 309).
- d. PETW does not have any contracts or agreements with shipping companies or shipping lines. (RX 301-02).
- e. PETW is not registered as a marine terminal operator with the FMC.² (RX 303, 1051-56).
- f. PETW does not publish a tariff schedule with the FMC. (RX 303).
- g. PETW has never filed a tariff schedule with the FMC. (RX 303).
- h. PETW is not a member of the New York Shippers Association or of the United States Marine Exchange. (RX 303).
- i. PETW does not provide any transportation services. (RX 281).

² PETW is not registered a vessel operating common carrier with the FMC. (RX 1057-61).

As such, PETW does not meet the Shipping Act's definition of a marine terminal operator because it does not provide warehousing services to anyone who qualifies as a common carrier. Based on the above, the Port Authority respectfully requests that the FMC dismiss PETW's remaining claim with prejudice because the FMC lacks subject matter jurisdiction over this action.

Point II

The Port Authority did not impose any undue or unreasonable prejudice or disadvantage upon PETW or give any undue or unreasonable preference or advantage to others.

46 U.S.C. § 41106(2) provides that "a marine terminal operator may not give any undue or unreasonable preference or advantage or impose any undue or unreasonable prejudice or disadvantage with respect to any person" The complainant "has the burden of proving, by a preponderance of the evidence, that the . . . [respondent] violated the Shipping Act, and this burden of persuasion does not shift." *Maier Terminals, LLC v. The Port Authority of New York and New Jersey*, F.M.C. Docket No. 08-03, 2014 WL 7328474, at *14 (F.M.C. Dec. 17, 2014) (citations omitted).

With regard to a claim of unreasonable preference or prejudice, the complainant "bears the [ultimate] burden of persuading the [FMC] that the practice [complained of] . . . is unreasonable, and that it similarly constitutes an unreasonable preference or prejudice." *River Parishes Co., Inc. v. Ormet Primary Aluminum Corp.*, F.M.C. Docket No. 96-06, 1999 WL 125991, at *23 (F.M.C. Feb. 3, 1999) (citations omitted). If the complainant makes out a *prima facie* case, the burden shifts to the respondent, who must show that the difference in treatment is based on legitimate transportation factors. *Maier Terminals, LLC v. The Port Authority of New York and New Jersey*, F.M.C. Docket No. 08-03, 2014 WL 7328474, at *15 (F.M.C. Dec. 17, 2014) (citations omitted). Nonetheless, "it is the burden of production that shifts, not the burden of persuasion," meaning that although the respondent may in some circumstances bear the burden of adducing evidence

justifying its conduct, the complainant bears the ultimate burden of proving that the respondent acted unreasonably. *Id.* at *14-15.

In order to establish a *prima facie* claim for unreasonable preference or prejudice, the complainant must show “that (1) two parties are similarly situated or in a competitive relationship, (2) the parties were accorded different treatment, (3) the unequal treatment is not justified by differences in transportation factors, and (4) the resulting prejudice or disadvantage is the proximate cause of injury.” *Ceres Marine Terminals, Inc. v. Maryland Port Administration*, F.M.C. Docket No. 94-01, 1997 WL 35281266, at *31 (F.M.C. Oct. 10, 1997) (citing *Distribution Services, Ltd. V. Trans-Pacific Freight Conf. of Japan*, F.M.C. Docket No. 86-12, 1988 WL 340659, at *5 (F.M.C. Jan. 6, 1988)); *Maher Terminals, LLC*, 2014 WL 7328474, at *15 (citations omitted).

Here, PETW cannot establish a *prima facie* case of unreasonable preference or prejudice because it is unable to meet any of the four required elements. PETW cannot meet the first element because it is unable to establish that it is a marine terminal operator under the Shipping Act or that it is similarly situated to PNCT. PETW is unable to meet the second or third element because it cannot show that the Port Authority unduly or unreasonably favored other marine terminal operators over PETW. Finally, PETW cannot demonstrate that the Port Authority’s actions were the proximate cause of its damages.

A. PETW cannot show that it is similarly situated or in a competitive relationship with PNCT because PETW is not a marine terminal operator.

“The first element of a claim of unreasonable preference or prejudice is that two entities are similarly situated or in a competitive relationship.” *Maher Terminals, LLC v. The Port Authority of New York and New Jersey*, F.M.C. Docket No. 08-03, 2014 WL 5316328, at *31

(F.M.C. April 25, 2014). This element is met if the complainant can show that the parties “compete to lease and utilize facilities at the port.” *Id.* at *32.

Here, PETW cannot make a claim of unreasonable preference or prejudice regarding FAPS or Columbia because it has not carried its burden of establishing that either of them are marine terminal operators under the Shipping Act. In fact, PETW’s complaint is devoid of any allegations against either of them. (RX 1-14).

PETW is not similarly situated to PNCT because it does not qualify as a marine terminal operator under the Shipping Act. *See supra* Argument, Point I. In addition, PETW and PNCT do not compete to lease and utilize facilities at the port because they are in different businesses and have different space and location needs. PETW’s entire business is to provide warehousing services to companies. (RX 298). Whereas PNCT’s business is to “[d]ischarge and load ships and deliver cargo to trucking companies.” (RX 308). PNCT and PETW also do not compete for customers. (RX 308-09).

Furthermore, per PETW’s complaint, there are multiple warehouses that suit PETW’s needs that are not being utilized by PNCT or by any other marine terminal operator. (RX 5). PETW would have been relocated to one of the vacant warehouses had it not been in arrears, which began accruing long before the Port Authority served upon PETW the Notice of Termination on April 19, 2016. (RX 696, RX 698-700, RX 1064-65, RX 1150). PETW has been in arrears since August 2014, when it failed to pay its rents under the PETW Agreement. (RX 696). As of February 5, 2015, PETW owed the Port Authority \$647,103.17 in back rents, late charges, and utilities. (RX 696). PETW’s debts continued to grow. At or around the time the Port Authority served upon PETW the Notice of Termination, PETW owed the Port Authority \$1,783,155.24. (RX 700). Had it not been for the arrears, the Port Authority would have provided PETW with

alternative suitable space. (704-05, RX 1064-65, RX 1150). PETW's arrears was the reason that the Port Authority was unable to relocate PETW to alternative warehouse space. (RX 1064-65).

For the foregoing reasons, PETW cannot establish a *prima facie* claim of undue and unreasonable prejudice or disadvantage. Therefore, PETW's remaining claim should be dismissed.

B. PETW cannot show that the Port Authority imposed an undue or unreasonable prejudice or disadvantage upon PETW or unduly favored other marine terminal operators.

The second and third elements require the complainant to show that it was treated differently due to undue or unreasonable preferences and prejudices. *Maier Terminals, LLC*, 2014 WL 5316328, at *32. In other words, the complainant must show that "a port charges a different rate to different users for an identical service." *Id.* "Mere differences in treatment alone, however, do not violate the Shipping Act." *Id.* (citing *Petchem, Inc. v. Fed. Mar. Comm'n*, 853 F.2d 958, 963 (D.C. Cir. 1988) (finding that the Shipping Act "clearly contemplates the existence of permissible preferences or prejudices.")). Therefore, only "undue or unreasonable preferences and prejudices would be violative" of the Shipping Act. *Maier Terminals, LLC*, 2014 WL 5316328, at *32 (quoting *Seacon Terminals, Inc. v. The Port of Seattle*, F.M.C. Docket No. 90-16, 1993 WL 197325, at *20 (F.M.C. April 14, 1993) (internal quotation marks omitted)).

"[I]t is proper to give deference to a port's discretionary business decisions" because the port is most familiar with the specific business circumstances at hand. *Seacon Terminals, Inc.*, 1993 WL 197325, at *19. Therefore, a port's decisions regarding leases and lease terms are "entitled to a presumption that it is concerned with public and not private interest." *Id.* (quoting *Petchem, Inc. v. Canaveral Port Authority, et al.*, F.M.C. Docket No. 84-28, 1986 WL 170038, at *17 (F.M.C. March 28, 1986) (internal quotation marks omitted)). "[T]here is no requirement that the Port explain . . . its reasoning during lease negotiations or create a written contemporaneous

analysis of terminal differences.” *Maher Terminals, LLC v. The Port Authority of New York and New Jersey*, F.M.C. Docket No. 08-03, 2014 WL 9966245, at *23 (F.M.C. Dec. 17, 2014). Differences in the identity and status of a lessee have a real and tangible impact on the lease negotiation process. *Id.* at 19.

For instance, “ports need not apply the same rate to all customers and may consider many factors relevant to negotiating a lease.” *Maher Terminals, LLC*, 2014 WL 7328474, at *15 (citations omitted). In addition, it is well settled that a port does not have a duty to provide leases with identical lease terms. *Maher Terminals, LLC*, 2014 WL 7328474, at *42 n. 12; *Maher Terminals, LLC v. The Port Authority of New York and New Jersey*, F.M.C. Docket No. 12-02, 2015 WL 435475, at *17 (F.M.C. Jan. 30, 2015) (noting that “the Commission specifically stated that neither *Ceres I* nor *Ceres II* states that a port has an absolute continuing duty to provide all lessees with identical lease terms”). When negotiating a lease agreement, a port can take into consideration the potential benefits that will be brought by a tenant in deciding to offer that tenant preferential lease terms). *Maher Terminals, LLC*, 2014 WL 9966245, at *17-19.

In fact, the FMC “is not responsible for ensuring that everybody makes a good deal – just that the commercial environment is not hampered by unreasonable or unjustly discriminatory practices.” *Ceres Marine Terminals, Inc. v. Maryland Port Administration*, F.M.C. Docket No. 94-01, 2001 WL 1085428, at *23 (F.M.C. Aug. 15, 2001). The reason for this is that “it would be impossible for the Port to insure that all of its tenants are identically situated, since each parcel and each operator has geographical and commercial idiosyncrasies.” *Maher Terminals, LLC*, 2014 WL 5316328, at *32 (quoting *Seacon Terminals, Inc.*, 1993 WL 197325, at *20) (internal quotation marks omitted)).

The analysis of the second and third elements of an unreasonable preference or prejudice claim depend on a comparison of the particular lease terms at issue. *Maher Terminals, LLC*, 2014 WL 9966245, at *16. The relevant lease terms will be based upon the claims asserted by the complainant and may include: “(1) base (per acre) rent; (2) minimum throughput requirements; (3) terminal guarantees; (4) investment requirements; (5) financing rate and security deposit requirements; and (6) first point of rest requirements.” *Id.*

In *Maher Terminals, LLC v. The Port Authority of New York and New Jersey*, F.M.C. Docket No. 08-03, 2014 WL 7328474 (F.M.C. Dec. 17, 2014), the complainant, Maher, claimed that the “Port [Authority] gave an unreasonable preference to APM-Maersk, and imposed an unreasonable prejudice on Maher, when the Port failed to provide Maher with the same lease terms it provided APM-Maersk.” *Id.* at *15. The administrative law judge (“ALJ”) found Maher’s claim without merit because the properties leased by Maher and APM-Maersk “were different, and, therefore, they were not provided an identical service.” *Id.* at *16. The ALJ reasoned that “maritime leases are rarely for identical property and some variation in rental terms is to be expected,” and determined that the differences in lease terms are reasonable because they are based on valid transportation factors. *Id.*

The FMC affirmed the ALJ’s findings. *Id.* at *42. In doing so, the FMC found that “there is no requirement that the Port explain to Maher its reasoning during lease negotiations or create a written contemporaneous analysis of terminal differences.” *Id.* at *23. The FMC reasoned that there were valid transportation factors for the differences in lease terms; for instance, APM-Maersk and Maher were subject to different minimum throughput rent guarantees, terminal guarantees, investment requirements, and financing rates. *Id.* at *24-29.

In the instant matter, PETW cannot claim that the terms of PNCT Agreement are unduly preferential to those contained in the PETW Agreement. Although the agreements have different terms and conditions, one is not unduly preferential over the other. Unlike the PNCT Agreement, the PETW Agreement does not require PETW to make any investments, construct any improvements on the leased premises, make any terminal guarantees, or be subject minimum throughput requirements. (RX 862, RX 707-839).

Whereas the PNCT Agreement requires PNCT to:

- a. Invest no less than \$500 million for “construction of capital improvements and acquisition and installation or placement of capital fixtures, equipment or other capital items at the Premises.” (RX 890-91).
- b. Increase the throughput threshold number by “one thousand seven hundred and five (1,705) Qualified Containers per acre upon the Completion Date with respect to each acre of each of the Development Parcels or any other property added to the Premises” (RX 862).
- c. Make certain payments to the Port Authority “in the event that the number of Qualified Containers loaded onto or discharged from vessels berthing at the Premises during any such Lease Year shall not exceed the Terminal Guarantee Number for that Lease Year, Lessee” (RX 954).

In addition, contrary to PETW’s contention, Section 41(a) of the PETW Agreement does not impose an undue prejudice or disadvantage upon PETW because it gives the right to both, the Port Authority and PETW to terminate the letting of buildings 201 and 202, without cause, from and after October 31, 2015, on one year’s prior written notice to the other party. (emphasis added) (RX 770-71). Moreover, PETW is a sophisticated business entity that has entered into numerous

leases and agreements with the Port Authority over the course of many years. (RX 4). Therefore, PETW cannot claim that it agreed to the provisions of the PETW Agreement without knowing that the Port Authority could terminate the letting as to buildings 201 and 202 at any time after October 31, 2015. Accordingly, PETW cannot claim that the PNCT Agreement contained unduly or unreasonable preferential lease term.

Even if the FMC is inclined to find that the PNCT and PETW are similarly situated and the PNCT Agreement contains preferential terms to those contained in the PETW Agreement, the Port Authority submits that there are valid transportation factors that justify the differences in lease terms between PETW and PNCT. These include the identities of the lessees and the potential risks and benefits at the time the lease agreements were signed.

PETW and PNCT are in different businesses. PETW's entire business is to provide warehousing services for companies. (RX 298). PETW does not transport any cargo to and/or from its warehouses into or out of ships that are docked at a port. (RX 305). Whereas PNCT's business is to "[d]ischarge and load ships and deliver cargo to trucking companies." (RX 308). PNCT does not have a warehousing business. (RX 308). It is well-settled that the Port Authority can consider the identity and status of lessees in negotiating lease agreements. *See Maher Terminals, LLC*, 2014 WL 9966245, at *19 (finding that ports can consider differences in the identity and status of a lessee during the lease negotiation process.).

Furthermore, the PETW Agreement and the PNCT Agreement were entered into at different times. The former was signed on November 1, 2009, whereas the latter was entered into on June 14, 2011. (RX 707-839, RX 840-1050). The Port Authority's business circumstances and needs on or around November 1, 2009 were different from those on June 14, 2011. Hence, the

Port is entitled to a presumption that there are valid transportation factors concerning its decisions regarding leases and lease terms. *See Seacon Terminals, Inc.*, 1993 WL 197325, at *19.

Moreover, unlike the PETW Agreement, which did not have any minimum investment requirements, PNCT's investment of more than \$500 million in Port Newark pursuant to the PNCT Agreement was "intended to transform its facility on Newark Bay into a larger, more efficient state-of-the-art terminal, which in turn would help accommodate the increased container volume." (RX 1062). The benefits of PNCT's investment "would include creation of 1,150 jobs, including 350 construction jobs, resulting in \$88 million in annual wages and \$630 million in regional economic activity." (RX 1062). As a result of this deal, "a major PNCT client, Mediterranean Shipping Co., pledged to expand its annual container volume at the port from 414,000 to 1.1 million by 2030." (RX 1062). The Port Authority was allowed to consider above benefits in deciding to offer PNCT the lease terms found in the PNCT Agreement. *See Maher Terminals, LLC*, 2014 WL 9966245, at *17-19 (finding that in negotiating a lease agreement, a port can consider the potential benefits that a tenant will bring to the ports when deciding whether to offer that tenant preferential lease terms).

Therefore, there are valid transportation factors that justify the differences in lease terms between the PNCT Agreement and PETW Agreement.

It is worth noting that the Port Authority could have filed an eviction action against PETW due to its failure to pay rent instead of requesting that PETW vacate buildings 201 and 202. (RX 754-55). PETW was in default of its obligations under the PETW Agreement as of August 2014, as a result of its failure to pay the monthly rents. (RX 696). At or around the time the Port Authority served upon PETW a Notice of Termination as to the lettings of buildings 201 and 202, PETW owed the Port Authority \$1,783,155.24. (RX 700). Pursuant to Section 24 of the PETW

Agreement, the failure of PETW to duly and punctually to pay its rents or make any other payment required under the PETW Agreement when due to the Port Authority constitutes an event of default, thereby giving the Port Authority the right to terminate the PETW Agreement. (RX 755).

Instead, following service of the Notice of Termination, representatives from the Port Authority and PETW met on numerous occasions, including on October 20, 2016, November 30, 2016, March 28, 2017, and June 13, 2017 to deal, negotiate, and discuss PETW's proposals to pay back its outstanding arrears and find alternative warehousing space. (RX 478-80, RX 701-03, RX 1073, RX 1151). However, the Port Authority did not accept PETW's proposals because it required the Port Authority to lease several buildings to PETW and wait over 10 years to be paid back in full; this was a risk that the Port Authority was not willing to take. (RX 1150).

PETW also claims that the Port Authority gave undue or unreasonable preference to FAPS and Columbia by not requiring them to relocate in order to allow PETW to go forward with its July 18, 2011 proposal to construct warehouse buildings. *See* PETW's July 30, 2018 proposed findings of fact and conclusions of law at p. 18-19, ¶¶ 53-56. The FMC should not give any consideration to the merits of this argument because the complaint is devoid of any allegations or claims that the Port Authority unduly or unreasonable favored FAPS and/or Columbia over PETW. (RX 1-14). All of the allegations in the complaint concern PNCT and the Port Authority's unduly and unreasonably preferential treatment of PNCT over PETW. (RX 1-14).

Even if the FMC were to consider the merits of this argument, it nonetheless fails because the terms of the agreements that the Port Authority entered into with FAPS and/or Columbia are not unduly preferential to those contained in the PETW Agreement. Although the agreements have different terms and conditions, there is not one that is unduly preferential over the others. Even if this was the case, there are valid transportation factors that justify those differences.

The agreement between the Port Authority and Columbia is not a lease agreement, but a space permit. (RX 1154-87). The terms of the Columbia Space Permit are not unduly preferential to the terms of the PETW Agreement. If anything, the contrary is true because the provisions of the Columbia Space Permit allow either the Port Authority or Columbia to revoke the permit without cause upon 30 days' notice. (RX 1180).

It is worth noting that the Columbia Space Permit did not go into effect until January 1, 2012, which is almost six months after PETW submitted the alleged proposal to build state of the art warehouses. (RX 1154). Therefore, PETW's argument that the Port Authority gave undue or unreasonable preference to Columbia by not requiring Columbia to relocate is without merit because the Columbia Space Permit was not in effect at the time PETW submitted its plans to build the warehouses.

The FAPS Agreement went into effect on October 1, 2010. (RX 1188). The terms of the FAPS Agreement are not unduly preferential to those contained in the PETW Agreement because the FAPS Agreement imposes several requirements upon FAPS that PETW is not subject to in the PETW Agreement. For instance, the FAPS Agreement requires FAPS to pay throughput rental fees to the Port Authority for every vehicle handled by FAPS. (RX 1197). As another example, the FAPS Agreement gave the Port Authority "the right, on ninety (90) days' notice, to recapture an aggregate of three (3) acres of the [leased] Premises in any sixty (60) month period of the Term for the purpose of facilitating the efficient movement of vehicles and cargo in and around the Facility, for the purpose of enhancing ingress and egress to adjacent leaseholds and public berths" (RX 1245-46).

Furthermore, PETW, FAPS, and Columbia are in different businesses. PETW's entire business is to provide warehousing services for companies, (RX 298), while FAPS imports

automobiles. (RX 1196-97), and Columbia “is the equipment repair and storage arm of the Columbia Group of Companies.” (RX 1290-91). As set forth above, the Port Authority can consider the identity and status of lessees in negotiating lease agreements. *See Maher Terminals, LLC*, 2014 WL 9966245, at *19. Therefore, there are valid transportation factors to justify the differences in lease terms offered to PETW, FAPS, and/or Columbia.

For the foregoing reasons, PETW’s argument that the Port Authority imposed an undue or unreasonable prejudice or disadvantage upon it by not allowing it to negotiate for the Added Parcels is without merit. As such, PETW cannot establish a *prima facie* case of unreasonable preference or prejudice.

C. PETW cannot demonstrate that the Port Authority’s actions were the proximate cause of its damages.

For the final element – that the resulting prejudice or disadvantage is the proximate cause of injury – “[t]he complainant has the burden of proving that it was subjected to different treatment and was injured as a result and the respondent has the burden of justifying the difference in treatment based on legitimate transportation factors.” *Ceres Marine Terminals, Inc.*, 1997 WL 35281266, at *31.

In this action, PETW cannot seek reparations pursuant to the ALJ’s April 17, 2018 Initial Decision Granting Motion to Partially Dismiss Complaint; the only relief that PETW can seek is a cease and desist order precluding the Port Authority from giving any undue or unreasonable preference or advantage or imposing any undue or unreasonable prejudice or disadvantage upon PETW. (RX 1132-49)

Regardless, PETW is not entitled to a cease and desist order because it cannot show that the Port Authority’s actions were the proximate cause of its damages. PETW’s financial troubles began long before the Port Authority served it with the Notice of Termination on April 19, 2016.

(RX 698-99). In fact, PETW was in arrears as of August 2014, when it failed to pay its monthly rent obligations under the PETW Agreement. (RX 696). As of February 5, 2015, PETW owed the Port Authority \$647,103.17. (RX 696). As a result, the Port Authority and PETW had to enter into a payback agreement wherein PETW agreed to pay the Port Authority the \$647,103.17 it owed in monthly installments. (RX 696). PETW failed to make the monthly installment payments as outlined in the payback agreement.

At or around the time the Port Authority served upon PETW a Notice of Termination as to the lettings of buildings 201 and 202 on April 19, 2016, PETW owed the Port Authority \$1,783,155.24. (RX 700). By April 21, 2017, before the Port Authority filed the eviction action to remove PETW from buildings 201 and 202, PETW owed the Port Authority over \$3.1 million dollars. (RX 1064). Therefore, the Port Authority had nothing to do with PETW's self-inflicted financial woes. As such, PETW's claim that the Port Authority caused or contributed to its damages by not allowing it to negotiate for the Added Parcels is without merit because PETW's financial problems began long before the Port Authority served the Notice of Termination. (RX 696).

PETW's claim that the Port Authority cost PETW millions of dollars in relocation expenses by requiring PETW to vacate warehouses at 194 and 199 Panama Street, 191 Export Street, 292 Marlin Street, and 1400 Aruba Street is likewise without merit. (RX 5). PETW vacated the buildings at 194 Panama Street and 199 Panama Street because the letting of those buildings terminated on October 31, 2012 pursuant to the PETW Agreement. (RX 346-47, RX 506, RX 697). PETW vacated the property at 191 Export Street because the letting of that building terminated on July 31, 2013, pursuant to the lease agreement between the Port Authority and PETW titled LPN-286. (RX 353, RX 645, RX 697).

PETW vacated the building at 292 Marlin Street on its own initiative after giving the Port Authority 30 days' written notice of its intent to terminate the month-to-month letting for this building. (RX 686). PETW abandoned 1400 Aruba Street because the sublease agreement it had entered into with Tyler had ended. (RX 688). In fact, PETW never entered into a written lease agreement with the Port Authority for the building at 1400 Aruba Street. (RX 360).

For the foregoing reasons, PETW cannot show that the Port Authority's actions caused or contributed to PETW's claimed damages.

Point III

PETW's request for an adverse inference due to the Port Authority's alleged refusal to provide discovery is without merit.

"When the parties are unable to resolve a discovery dispute, a party may file a motion to compel the opposing party to produce evidence or respond to interrogatories." *United States v. Kellogg Brown & Root Servs., Inc.*, 284 F.R.D. 22, 27 (D.D.C. 2012). However, "[u]nder Federal Rule 37, a party may move for an order compelling disclosure or discovery only after the movant has in good faith conferred or attempted to confer with the person or party. *Id.* (quoting Fed. R. Civ. P. 37(a)(1) (internal quotation marks omitted)). "Courts have held that conferring with the opposing party is a prerequisite to any successful Rule 37 motion to compel." *Id.* (citing *U.S. ex rel. Pogue v. Diabetes Treatment Centers of America, Inc.*, 235 F.R.D. 521, 529-30 (D.D.C. 2006) (denying motion to compel for failure to meet and confer prior to filing)).

Conversely, "[w]hen the opposing party has answered the movant's interrogatories, the party moving to compel discovery has the burden of showing that the opposing party's responses are incomplete." *Id.* (citing *Guantanamo Cigar Co. v. Corporation Habanos, S.A.*, 263 F.R.D. 1, 7 (D.D.C. 2009)). If the motion seeking discovery is granted, "Rule 37 provides for sanctions

after there has been a failure to comply with some order of the court.” *S.E.C. v. Thomas*, 116 F.R.D. 230, 233 (D. Utah 1987).

In this matter, on February 26, 2018, PETW sent a letter “following up on the requests made at the deposition” of Sam Ruda. (RX 1300-01). On March 23, 2018, the Port Authority provided responses to PETW’s February 26, 2018 request for production of documents. (RX 1302-08). Included in the Port Authority’s March 23, 2018 responses were 297 pages of documents, which were bates numbered PA005995-PA006291. (RX 1302-08). At no time following the Port Authority’s service of its March 23, 2018 responses did PETW object to same, indicate that they were deficient in any manner, or file a motion compelling discovery. Now, PETW seeks an adverse inference due to the Port Authority’s alleged refusal to produce certain documents and records. *See* PETW’s July 30, 2018 proposed findings of fact and conclusions of law at p. 57. PETW’s request for an adverse inference should be denied because the Port Authority provided responses to PETW’s post-deposition document production requests and PETW never indicated to the Port Authority that the responses were unsatisfactory. Even if PETW gave the Port Authority such notice, the proper remedy would have been for PETW to file a motion compelling discovery. Accordingly, PETW’s request for an adverse inference is wholly inappropriate and should be denied.

Conclusion

The Port Authority respectfully requests that the FMC dismiss PETW’s claim for undue or unreasonable prejudice or disadvantage because the FMC lacks subject matter jurisdiction over this action inasmuch as PETW is not a marine terminal operator under the Shipping Act. In the alternative, the Port Authority requests that the FMC find that the Port Authority did not impose

any undue or unreasonable prejudice or disadvantage upon PETW or give any undue or unreasonable preference or advantage to others.

PORT AUTHORITY LAW DEPARTMENT
*Attorneys for The Port Authority of New York
and New Jersey*

By: 

Juan M. Barragan

Dated: August 29, 2018

BEFORE THE
FEDERAL MARITIME COMMISSION

Docket No. 17-07

PORT ELIZABETH TERMINAL & WAREHOUSE CORP.
COMPLAINANT

v.

THE PORT AUTHORITY OF NEW YORK AND NEW JERSEY
RESPONDENT

AFFIDAVIT OF SERVICE

Tyler L. Hinton, being duly sworn, deposes and says:

That I am a Law Intern in The Port Authority of New York and New Jersey Law Department, am over the age of eighteen (18) years, am not a party to this action and have an office address at 4 World Trade Center, 150 Greenwich Street, New York, New York.

That on the 29th day of August 2018, I served the annexed **RESPONDENT'S BRIEF IN SUPPORT OF ITS PROPOSED FINDINGS OF FACT AND CONCLUSIONS OF LAW, RESPONDENT'S OBJECTIONS AND RESPONSES TO COMPLAINANT'S PROPOSED FINDINGS OF FACT and RESPONDENT'S APPENDIX** upon:

Law Offices of Donald F. Burke
45 Gale Road
Brick, New Jersey 08723
Attn: Donald F. Burke, Esq.

LaRoe, Winn, Moerman & Donovan
1250 Connecticut Avenue North West, Suite 700
Washington, DC 20036
Attn: Paul M. Donovan, Esq.

by depositing a true copy thereof in a sealed wrapper, in a depository maintained by FedEx to be shipped via FedEx Overnight Service at 4 World Trade Center, 150 Greenwich Street, 24th Floor, New York, New York 10007.

Sworn to before me this
29th day of August 2018.



Notary Public

Natalie D. Russell
NOTARY PUBLIC, State of New York
No. 01RU6358214
Qualified in New York County
Commission Expires May 8, 2021

